

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2016-17

Paper No. BCH-215: Fundamentals of Business Finance

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Define business finance. “Wealth maximization is superior to profit maximization.” Discuss. [14]

OR

State the various functions of finance. [14]

Question 2. What do you mean by a financial plan? State its determinants. [14]

OR

What considerations would you keep in mind while drafting a financial plan for an industrial concern? Also discuss the limitations of a financial plan. [14]

Question 3. Define overcapitalisation. Discuss its causes and impact on shareholders, the company, and society. [14]

OR

Write short notes on the following: [14]

- (a) Cost theory of capitalisation
- (b) Earnings theory of capitalisation

Question 4. Examine briefly the various sources of long-term capital in Indian industries. [14]

OR

Write short notes on the following: [14]

- (a) Retained earnings
- (b) Equity share capital

Question 5. What do you mean by working capital? State the factors determining the working capital requirements. [14]

OR

Write short notes on the following: [14]

- (a) Commercial papers
- (b) Trade financing

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